

9708/12/o/n/19

1B:

A: Scarcity not just affects low income earners, it affects “everyone”

B: Because of the existence of scarcity “choices have to be made”, thus making this correct

C: This is incorrect to say that “scarcity will be removed by falling prices”; scarcity represents the basic economic problem, which cannot be removed. Although, shortages or excess demand can be reduced by a rise in prices.

D: Scarcity will not be abolished by new technology as once old wants are satisfied, new ones will be established, which makes it definite that the unattainable point is always meant to exist.

2-D:

A production possibility curve shows output combinations of two types of goods that can be produced in an economy, examples include: **output of rice and output of sugar**. Since only goods are shown on the axes of the PPC, D becomes correct.

3-D:

D: The fact that “consumption by one individual prevents its consumption by someone else” prevents its consumption by someone else represents the concept of “excludability”, that is when payment by one individual restricts other individuals from enjoying the benefits associated with the particular good. This means that the good is a private good, as excludability, rivalry, and rejectability are features of private goods, which is why option D becomes correct. **This is also why, option B and C are incorrect as this good cannot be non-excludable and non-rival, since non-excludability and non-rivalry are defining features of a “public good.”**

A: In case of a free good, a good is available in unlimited quantities, which means that the “basic principle of scarcity does not exist”, and therefore, there is no opportunity cost involved. This good cannot be a “Free Good”.

4-D:

A: Money is regarded as the most liquid form of wealth. It is already in the form of cash or easily accessible in bank accounts, making it readily usable for transactions or immediate spending. This is a positive statement as it can be reliably tested for its accuracy.

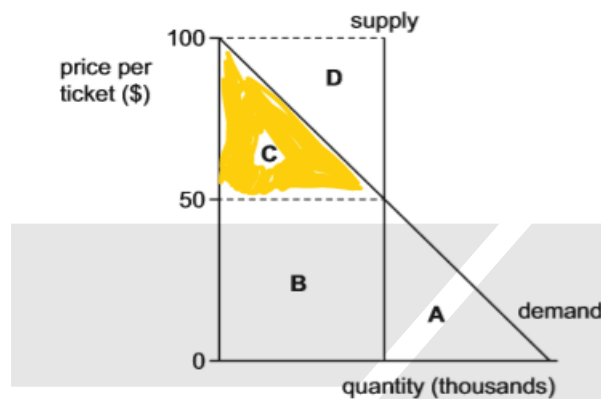
B: The fact that some firms are subsidized by the government is a “positive statement”

C: Again, this is also an objective statement based on facts that some workers earn more than others, as due to certain reasons, wage differentials exist.

D: “Taxes being the best way to discourage smoking” represents a subjective statement or a value judgement, which makes it a “normative statement”

5-C:

Consumer surplus is the difference between the amount a consumer is willing to pay and the amount he actually pays, that is, the market price. It is the area below the demand curve and above the price level, and is represented through the region “C”.



6-C:

We are interested in an option that does not cause a shift and instead causes a movement along the demand curve.

A-Advertising resulting in an increase in sales, represents a rise in demand or a rightward shift in the demand curve.

B: When consumer incomes rise, this will result in a rightward shift in the “demand curve”

C: A fall in prices will result in an extension in qty demanded and in turn a movement along the demand curve, which is why, this option becomes correct.

D: When the price of related goods fall, the demand curve would again shift leftwards or rightwards, depending upon whether it is a substitute or a complement.

7-B:

Price mechanism is when prices are determined by the market forces of demand and supply, where prices provide a signal to the producer to allocate scarce resources among competing uses in a profit maximizing manner

A-“Signaling” is a function of price mechanism. Prices perform a **“signaling” function** – i.e. they adjust to demonstrate where resources are required. Through **choices**, consumers send **information to producers** about their **changing nature of needs and wants**. Prices rise and fall to reflect **scarcities** and **surpluses**. If prices are rising because of high demand from consumers, this is a signal to suppliers to expand production to meet the higher demand.

B – Maximization of consumer surplus is not the function of price mechanism as **often it aims to convert producer surplus into Total Revenue**, this is why this option is correct

D-Rationing is another function of price mechanism. Prices **ration scarce resources** when demand outstrips supply. When there is a **shortage**, price is bid up – leaving only those with **willingness and ability to pay** to buy.

If maximum price is imposed above the equilibrium, it will be ineffective, as although prices cannot rise from this legally imposed price-ceiling set, they can fall back and, in this case, back to the equilibrium, making price mechanism operational and price control ineffective.

9-A:

10-A: Option A: The diagram below shows that a situation whereby PED is less than PES will lead to **“a greater incidence of taxation being borne by the consumer, thus making it correct.”**

C and D: The diagram below shows that in a situation whereby PES is inelastic or when PES was inelastic and PED was elastic, **a greater incidence of taxation will be borne by the producer.**



Subsidy is a financial incentive: a cash or a grant payment given by the government to the producer, which will reduce their costs of production, leading to an increase in supply shown through a “rightward shift in the supply curve” from S_1 TO S_2 , as a result of which, a new equilibrium point will be achieved from “X” to “D”

12-C:

We are interested in an option that causes an increase in supply and an increase in demand

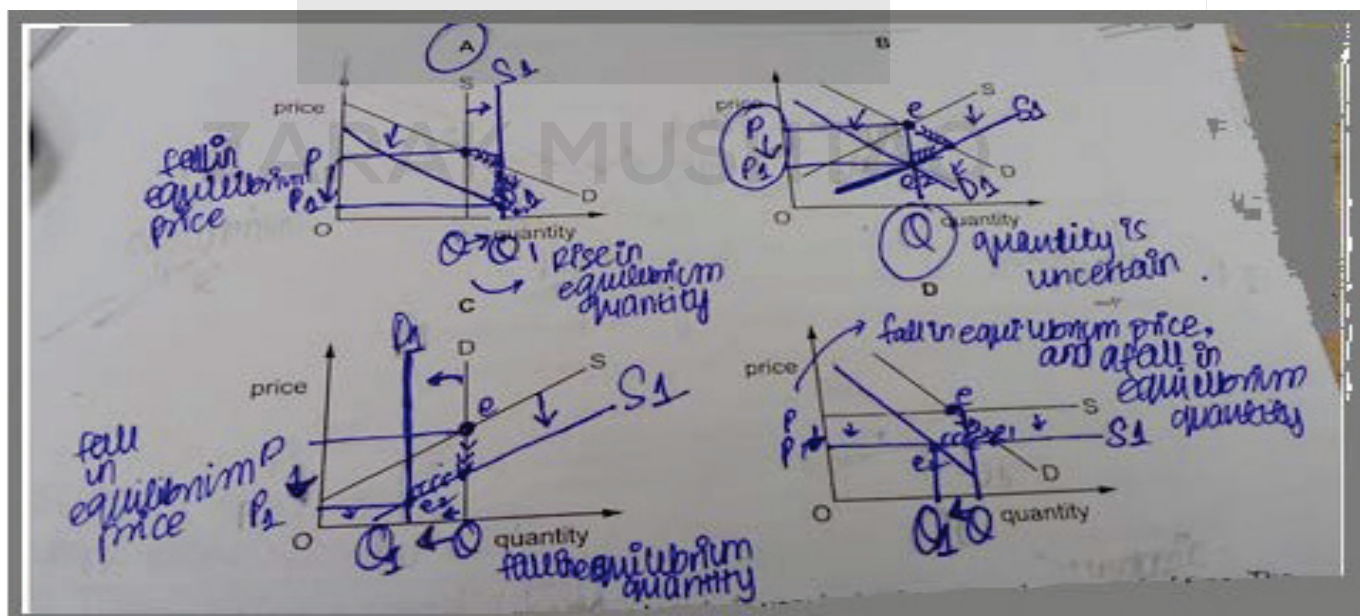
A: A fall in the price of the good results in movement along the demand and supply curves, as it leads to an extension in qty demanded, and on the other hand, a contraction in qty supplied. Although, a fall in the rate of indirect tax reduces costs of production, leading to a rise in supply, overall this becomes incorrect

B: A rise in the price of a complementary good would result in a fall in the demand for the good, since there is a negative relationship between price of one good and demand for another in case of complements. Although, a fall in the price of essential raw material would result in a reduction in costs of production, leading to a rise in supply, this becomes incorrect as whole.

C: A rise in the price of a substitute good would lead to a rise in the demand for the good, since there is a positive relationship between the price of one good and demand for another, in case of substitutes. Similarly, a fall in the price of an essential raw material will lead to a reduction in costs of production and in turn a rise in supply, thus making this correct

D: Although, an improvement in production techniques result in a rise in efficiency and productivity, which subsequently results in a fall in costs and in turn a rise in supply, the fact that incomes of consumers decrease mean that the demand for normal good will fall, this is why, this becomes incorrect

13-A:



14- A:

A: This is correct as due to imperfections, that is, lack of adequate, accurate and appropriate information about the true value these goods present, merit goods are always under-consumed, and therefore, under-produced and under-allocated. Therefore, the government engages in direct provision to increase allocation to socially optimal levels.

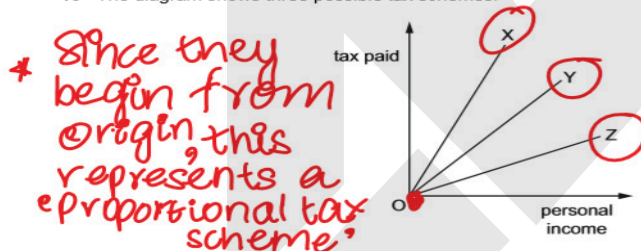
B: Education in a free-market would be under-consumed due to "information failure"

C: This is incorrect as education is a private good, which exhibits the features of excludability and rivalry. Excludability represents that in case of private sector schools, payment by one individual restricts others from enjoying the benefits associated with the particular good. Whereas, rivalry represents that consumption by one individual reduces the amount available for others to consume

D: This is incorrect as the private costs of education do not exceed its private benefits in a free market.

15-B:

15 The diagram shows three possible tax schemes.



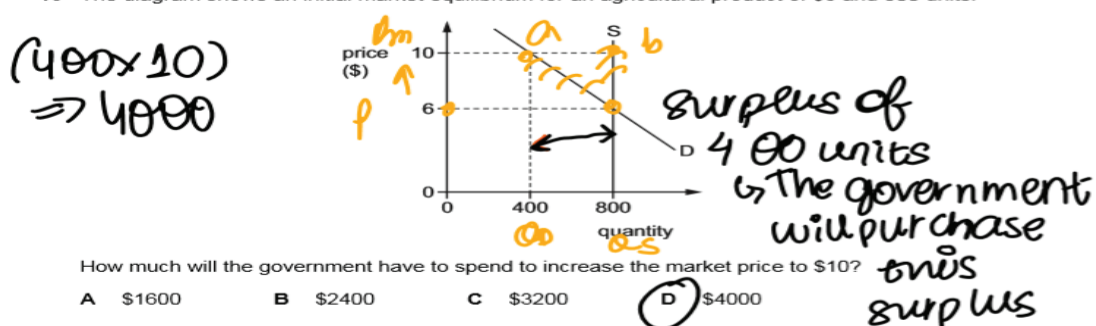
What can be concluded about these tax schemes?

- A X is more progressive than Z.
- ☒ B X, Y and Z are all proportional.
- C Y is the only proportional tax.
- D Z is more regressive than Y.

15-B

16-D:

16 The diagram shows an initial market equilibrium for an agricultural product of \$6 and 800 units.



How much will the government have to spend to increase the market price to \$10?

- A \$1600
- B \$2400
- C \$3200
- ☒ D \$4000

17-B:

*** Payments made without goods or services being received in exchange.**

The table identifies items of government annual spending.

Transfer payments
 $75 + 50 = 125$

	\$ million
army pay	35
civil servants' salaries	125
farming subsidies	15
pension payments	75
welfare benefits	50

What is the total government expenditure on transfer payments?

A \$50m **B 125m** C \$175m D \$300m

Handwritten notes:
 - "in return of a service" (pointing to army pay)
 - "in return of a service" (pointing to civil servants' salaries)
 - "Contribution to output" (pointing to farming subsidies)

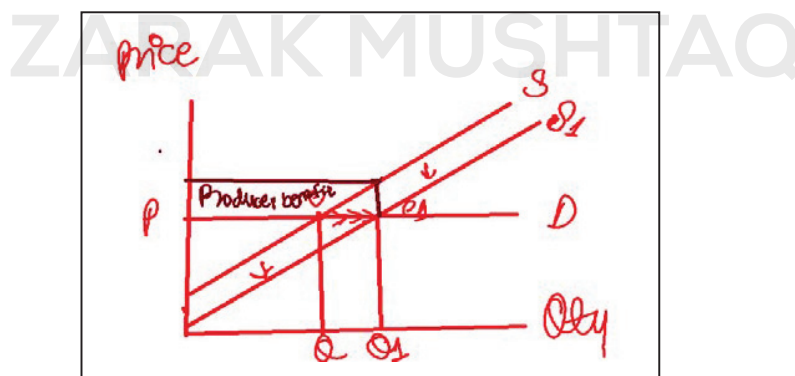
18-B:

A-As can be seen here, consumers and producers do not receive equal benefits of subsidy. It is "producer only who benefits with the incidence of subsidy"

B- This is correct that there will be no changes in prices, as a minute or a fractional change in price results in infinite changes in qty demanded, and therefore the incidence of subsidy falls on the producer, thus making this correct. This can be seen in the diagram below.

C- This is incorrect to say that the incidence of subsidy will fall on the consumer

D- This is incorrect to say that the incidence of subsidy will fall on the consumer, and also, "there will be a change in qty consumed" (shown through Q-Q1)



19-C:

Primary incomes represent “net incomes” or “income flows” representing inflows and outflows of interest, dividends and profits.

Whereas, secondary incomes represent “net transfers” or “current transfers” representing government to government transfers of aid, gifts and charitable donations.

This is why, C becomes correct

20-C:

We are interested in an option that causes a leftward shift in the Aggregate supply curve.

- A- An increase in export prices when make exports uncompetitive would result in a contraction in qty demanded by a relatively higher percentage when the demand for them is elastic, resulting in a fall in export revenues, and this will lead to a fall in Aggregate demand.
- B- An increase in govt spending represents “injections” into the circular flow, resulting in a rise in AD.
- C- An increase in import prices of raw materials, when results in a contraction in qty demanded by a relatively smaller percentage, results in a rise in import expenditures, and when this increases costs, there is a reduction in Aggregate Supply
- D- An increase in money supply has an expansionary effect on Aggregate demand.

21-B:

Protectionism is when restrictions are imposed on imported goods, and is a movement away from “free-trade”

A-Safety standards and excessive regulations represent “bureaucratic red tapes”, which is a protectionist measure.

B-Increasing the rate of sales tax on exported goods is **not an example of protectionism, thus making this correct. This is because “it is a tax on exported goods, and not imported goods.”**

C-The government banning certain imports represents **embargo** being put in effect, which is a protectionist measure.

D-Imposition of tariffs is also a tool of protectionism.

22-D:

10

22 The table shows the annual percentage increases in a country's consumer prices index (CPI).

prices are not falling. They are increasing at a decreasing rate, representing 'dis-inflation'

year	% change
2015	8.3
2016	6.0
2017	6.0
2018	1.0

Total % change
8.3
14.3
20.3
21.3

Which statement is correct?

- A Consumer prices, on average, fell throughout the period.
- B Consumer prices, on average, remained the same in 2016 and 2017.
- C The general level of consumer prices was at its highest in 2015.
- D The general level of consumer prices was at its highest in 2018.

consumer prices are higher in 2017

No, it is lowest

Yes, it is highest, as prices have risen by 21.3%

23-C:

23 The table indicates the factor inputs required to produce wheat and cars in countries X and Y.

* Country Y has a comparative advantage in wheat
* X has it in car

	units of factor inputs to produce one tonne of wheat	units of factor inputs to produce one car
country X	4 0.25	2 0.5
country Y	8 0.125	6 0.167

Step 1: Convert inputs into output

C → 1W : 4 inputs

0.25W : 1 input

Country X

→ 1C : 2 input

1 : 1 input

0.5C : 1 input

What makes it possible for both countries to benefit from trade?

- A Country X has an absolute advantage in wheat and car production.
- B Country Y has an absolute advantage in wheat and car production.
- C Country Y has a comparative advantage in wheat production.
- D Opportunity cost of wheat and car production is the same between countries.

Country Y:

1W : 8 inputs

0.125W : 1 input

1C : 6 inputs

1/6 C : 1 input

1 input : 0.167

Step 2: find ratios

X 0.25W : 0.5C

1W : 0.5/0.25

1W : 2C

* 0.125W : 0.167C

* 1W : 0.167

0.125 * 1W : 1.336

24-D:

A: An increase in government spending represents injections in to the circular flow, leading to an increase in , or in other words, a rightward shift in the Aggregate demand curve. This is incorrect as this would not lead to a **movement along the Aggregate demand curve**.

B: As spoken above, this would not result in a move to the right "along" the AD curve.

C: This does not cause a decrease in Aggregate demand.

D: : An increase in government spending represents injections in to the circular flow, leading to an increase in , or in other words, a rightward shift in the Aggregate demand curve. This is why, this becomes correct

25-C:

A foreign government when obtains a service from the UK university, and pays for it, will be **considered as an export of services in the UK's current account , which represents the component "trade in services"**

And since, money is received, this will be regarded as an "inflow"

26-B:

The calculation below explains why B will be the answer.

$$\begin{aligned} \text{Terms of trade} &\Rightarrow \frac{\text{Export prices}}{\text{Import prices}} \times 100 \\ \text{Year 1} &\Rightarrow \frac{115}{120} \times 100 \Rightarrow 95.8 \\ \text{Year 2} &\Rightarrow \frac{125}{125} \times 100 \Rightarrow 100 \end{aligned}$$

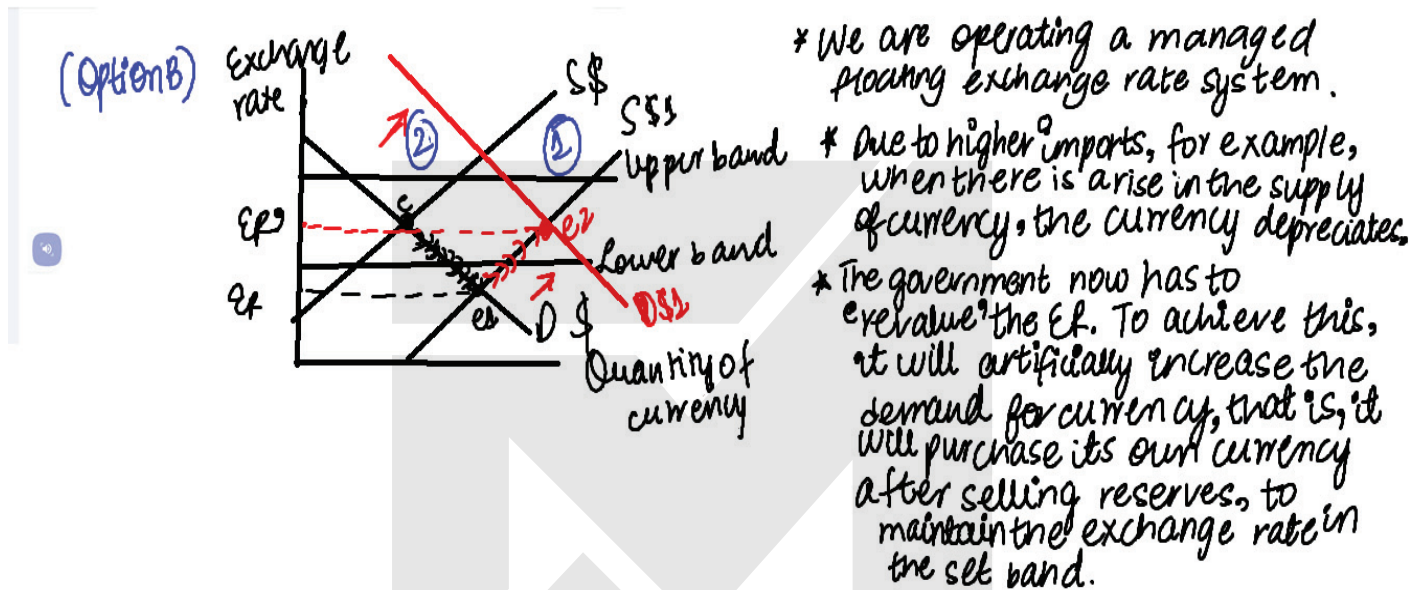
$\frac{\text{New-old}}{\text{old}} \times 100$
 $\hookrightarrow \frac{100 - 95.8}{95.8} \times 100$
 $\hookrightarrow 4.38\%$

improved by 4.38%

27-B:

A – In-order to achieve appreciation under a floating exchange rate system, there would be no need for government intervention.

B- The figure below explains why B will be correct.



C and D: In-order to achieve devaluation, under a fixed or a managed floating ER system, the government will have to sell its currency to maintain the exchange rate, thus making them incorrect.

28-A:

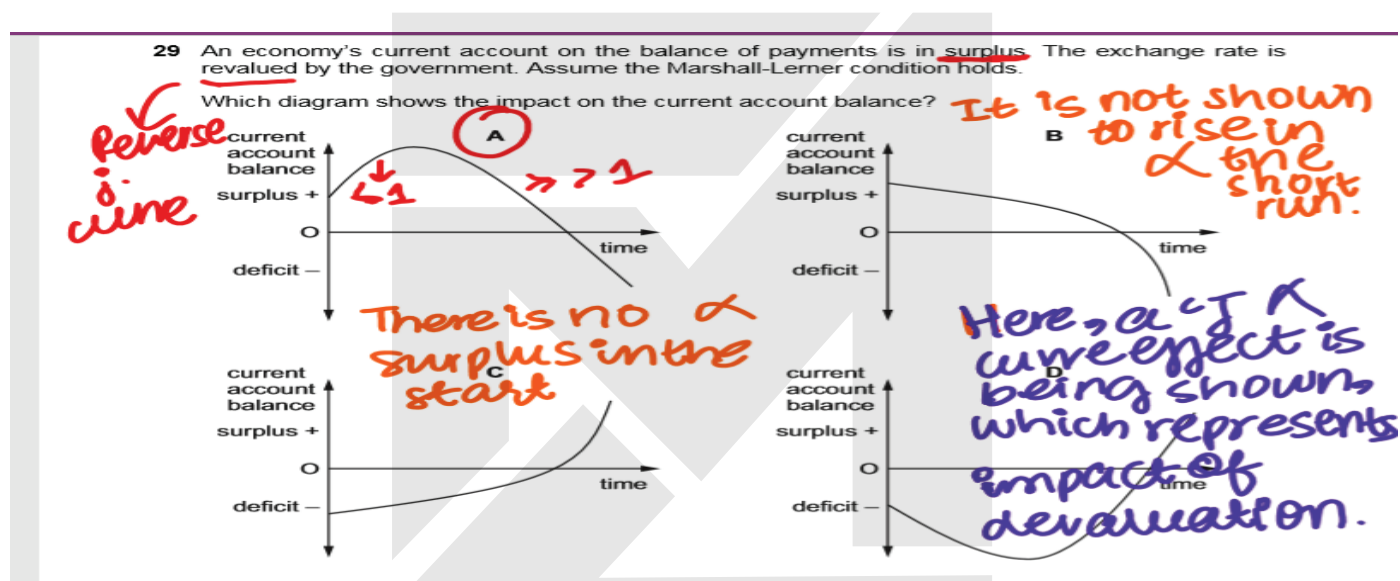
A -Increasing interest rates would result in increased incentives to save, and a higher savings ratio would therefore result in a fall in consumption expenditure, even on imported goods, and as a part of an expenditure dampening policy, it will reduce import expenditures, and help decrease the deficit, thus making this correct.

B – Increasing the money supply would result in a fall in interest rates, and that would result in decreased incentives to save, and a lower savings ratio would therefore result in a rise in consumption expenditure, even on imported goods, and this rise in import expenditures will increase the deficit.

C – Reducing subsidies paid to exporting industries would increase their costs, and this would translate in a higher price of export-oriented commodities, and this rise in un-competitiveness would result in a reduced demand for them, and consequently a fall in export-revenues would result in a rise in the deficit.

D – Reducing the level of direct taxation, for example, income taxes, would increase the disposable incomes of individuals, and increase consumption expenditures even on imported goods, which would result in a rise in deficit.

29-A:



30-A:

A- A rise in budget deficit represents a situation whereby government spending is greater than tax revenues (due to for e.g.: reduction in the rates of taxes). And, since a rise in public spending will increase injections in the circular flow, it will increase Aggregate demand (representing an expansionary fiscal policy), thus making this option correct.

B and C - Monetary policy involves the government manipulating money supply, interest rate and exchange rate to influence Aggregate demand.

A rise in exchange rate or revaluation represents contractionary monetary policy. Whereas, a rise in money supply, since results in a fall in interest rates, represents an expansionary monetary policy.

D – A rise in the rate of direct taxation represents contractionary fiscal policy.